Key Operating and Financial Activities

Significant operating and financial activities during 2012 include:

- Net proved reserve additions for the E&P and OSM segments combined of 389 mmboe, for a 226 percent reserve replacement ratio
- Increased proved liquid hydrocarbon and synthetic crude oil reserves by 316 mmbbls, for a reserve replacement of 268 percent for these commodities
- Recorded more than 95 percent average operational availability for operated E&P assets
- Increased E&P net sales volumes, excluding Libya, by 8 percent
- Eagle Ford shale average net sales volumes of 65 mboed for December 2012, a fourfold increase over December 2011
- Bakken shale average net sales volumes of 29 mboed, a 71 percent increase over last year
- Resumed sales from Libya and reached pre-conflict production levels
- International liquid hydrocarbon sales volumes, for which average realizations have exceeded WTI, were 62 percent of net E&P liquid hydrocarbon sales
- Closed $1 billion of acquisitions in the core of the Eagle Ford shale
- Assumed operatorship of the Vilje field located offshore Norway
- Signed agreements for new exploration positions in E.G., Gabon, Kenya and Ethiopia
- Issued $1 billion of 3-year senior notes at 0.9 percent interest and $1 billion of 10-year senior notes at 2.8 percent interest

Some significant 2013 activities through February 22, 2013 include:

- Closed sale of our Alaska assets in January 2013
- Closed sale of our interest in the Neptune gas plant in February 2013

Consolidated Results of Operations: 2012 compared to 2011

Consolidated income before income taxes was 38 percent higher in 2012 than consolidated income from continuing operations before income taxes were in 2011, largely due to higher liquid hydrocarbon sales volumes in our E&P segment, partially offset by lower earnings from our OSM and IG segments. The 7 percent decrease in income from continuing operations included lower earnings in the U.K. and E.G., partially offset by higher earnings in Libya. Also, in 2011 we were not in an excess foreign tax credit position for the entire year as we were in 2012. The effective income tax rate for continuing operations was 74 percent in 2012 compared to 61 percent in 2011.

Revenues are summarized in the following table:

(In millions)	2012	2011
E&P	$ 14,084	$ 13,029
OSM	1,552	1,588
IG	—	93
Segment revenues	15,636	14,710
Elimination of intersegment revenues	—	(47)
Unrealized gain on crude oil derivative instruments	52	—
Total revenues	$ 15,688	$ 14,663

E&P segment revenues increased $1,055 million from 2011 to 2012, primarily due to higher average liquid hydrocarbon sales volumes. E&P segment revenues included a net realized gain on crude oil derivative instruments of $15 million in 2012 while the impact of derivatives was not significant in 2011. See Item 8. Financial Statements and Supplementary Data – Note 16 to the consolidated financial statement for more information about our crude oil derivative instruments.

Included in our E&P segment are supply optimization activities which include the purchase of commodities from third parties for resale. See the Cost of revenues discussion as revenues from supply optimization approximate the related costs. Supply optimization serves to aggregate volumes in order to satisfy transportation commitments and to achieve flexibility within product